

Reforming Credit Access: Addressing Structural Exclusion in Urban Homeownership

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Introduction

Home ownership is one of the most important ways for individuals in the United States to build wealth and secure stable housing. Yet, for millions of working-class residents - particularly in urban areas and communities of color - this path is obstructed by barriers to credit access. Credit, especially in the form of mortgage lending, is the key to home ownership. When access to that credit is restricted, so too is access to upward mobility. The resulting dynamic is structurally exclusionary and one that continues to reproduce economic immobility.

This essay examines the mechanisms by which the current credit system excludes working-class urban borrowers and outlines two necessary, implementable reforms: (1) the mandatory inclusion of rent-payment history in credit reporting, and (2) regulatory expansion of the Community Reinvestment Act to cover nonbank mortgage lenders.

I. Structural Failures in the Housing Credit System

Current housing credit systems rely on a narrow definition of creditworthiness. The dominant credit scoring model in the U.S. - the FICO score - relies heavily on traditional credit activity: long-term credit card use, installment loan repayment, and low utilization ratios. These indicators fail to reflect the financial behavior of a large share of urban working-class Americans who do not engage with traditional credit products. The CFPB reported in 2015 that 26 million Americans are “credit invisible” (having no credit history), and another 19 million are “unscorable” due to insufficient or outdated data. These groups disproportionately consist of low-income individuals, immigrants, and racial minorities.

Moreover, rent payments—typically the single largest recurring expense for renters—are almost never factored into credit scores. According to a 2020 study by the Urban Institute, fewer than 5% of renters see their on-time rent payments reflected in their credit histories, even when they consistently pay over years. This is a glaring omission. A 2022 Freddie Mac study found that including rent payments in credit evaluations could raise credit scores by an average of 29 points for renters, with 60% of participants moving into a higher credit risk tier.

At the same time, traditional federal interventions have proven structurally insufficient. The Federal Housing Administration (FHA), for example, backs loans for borrowers with lower credit scores, but at the cost of higher mortgage insurance premiums and appraisal hurdles. FHA loans are frequently rejected

in competitive urban markets due to seller biases and perceived risk. This leads to a paradox: even if a low-income borrower qualifies for a loan, the structure of the loan product itself diminishes their chance of securing a property.

On the regulatory front, the Community Reinvestment Act (CRA)—passed in 1977 to encourage banks to serve low- and moderate-income neighborhoods—no longer maps onto the realities of the mortgage market. As of 2021, nonbank lenders account for approximately 68% of all new mortgage originations, according to the Mortgage Bankers Association. These entities, which include fintech firms and online lenders, are not subject to CRA requirements, allowing them to operate outside of the regulatory frameworks designed to ensure equitable credit access. A significant portion of the mortgage market is now functionally unregulated with respect to geographic or demographic equity.

II. Reforming Credit Scoring Through Mandatory Rent Payment Inclusion

Congress or the CFPB must mandate that all landlords above a reasonable size threshold, and especially those receiving federal subsidies, report rent payment data to credit bureaus, contingent on tenant consent. The technology to do so is already in place—platforms like Esusu and RentTrack have demonstrated scalable, secure rent reporting methods linked directly to Experian, Equifax, and TransUnion (Urban Institute, 2022). Beyond voluntary participation, legislative mandates would create uniformity, preventing landlord discretion from creating patchy or inequitable reporting.

Implementation should also include state and federal funding to support small and midsize landlords in upgrading property management systems to automate rent data reporting. Without such support, the mandate risks excluding the very landlords who serve the most vulnerable tenants due to cost and technical barriers. CFPB supervisory guidance should require credit bureaus to integrate rent data into consumer reports and encourage adoption of advanced scoring models, such as FICO 10T and VantageScore 4.0, that incorporate alternative data sources and better predict creditworthiness for low-credit consumers (FICO, 2023).

The empirical evidence supporting this reform is compelling. Table 1 summarizes key findings from several relevant studies. A 2021 Fannie Mae pilot demonstrated that 17% of applicants with no previous credit score became mortgage-eligible after rent data inclusion, while Credit Builders Alliance research showed an average credit score increase of 23 to 45 points post-rent reporting (Fannie Mae, 2021; Credit Builders Alliance, 2020). By increasing the pool of borrowers qualifying for prime conventional loans, this reform could reduce dependence on high-cost FHA or subprime loans, lowering costs for working-class borrowers and increasing their purchasing power.

Study	Outcome	Magnitude
Fannie Mae pilot (2021)	Applicants newly mortgage-eligible	17% of unscored applicants
Credit Builders Alliance (2020)	Avg. credit score increase post-reporting	+23 to +45 pts
Freddie Mac (2022)	Average credit score increase	+29 pts
Freddie Mac (2022)	Share moving to better credit risk tier	60% of participants

Table 1: Evidence on rent reporting and credit score outcomes.

Moreover, incorporating rent data combats racial disparities in credit scoring. The CFPB's 2021 report on mortgage discrimination documented that Black and Latino applicants are disproportionately denied loans compared to white applicants with similar financial profiles (The Markup, 2021). Rent payment inclusion shifts the credit evaluation paradigm towards actual, demonstrated financial reliability, reducing the reliance on exclusionary historical credit data that disproportionately disadvantages minority communities.

III. Extending Community Reinvestment Act Obligations to Nonbank Mortgage Lenders

The regulatory framework designed to ensure equitable mortgage lending has not evolved alongside the market's shift from banks to nonbank lenders. As of 2021, nonbank mortgage lenders accounted for nearly 70% of new originations (Mortgage Bankers Association, 2021), yet they remain largely outside the regulatory scope of the Community Reinvestment Act (CRA). This regulatory gap allows nonbank lenders to prioritize profitable high-income areas while neglecting low- and moderate-income urban communities, perpetuating geographic and racial disparities in credit access.

Addressing this requires legislative or regulatory action to extend CRA-like obligations to nonbank lenders surpassing a material origination threshold (e.g., \$100 million annually). Under such a mandate, these lenders would be required to report granular, geo-demographic mortgage data to the CFPB, consistent with expanded Home Mortgage Disclosure Act (HMDA) standards, and submit to periodic public CRA assessments.

These assessments should be tied to licensing authority, merger approvals, and eligibility to participate in federally backed securitization programs such as those run by Ginnie Mae. This creates clear incentives for nonbanks to increase lending in underserved communities or face restrictions on growth and market participation. Conversely, high-performing nonbanks could benefit from streamlined regulation or preferential access to federal liquidity programs.

States such as New York and Massachusetts have already taken preliminary steps to regulate nonbank lenders under CRA-like frameworks, demonstrating the feasibility and efficacy of this approach (NYDFS, 2024; Urban Institute, 2023). Federal adoption would harmonize oversight and close the regulatory blind spot enabling predatory lending and exclusionary practices. Extending CRA obligations to nonbanks would dismantle the dual-market dynamic in mortgage lending, restoring regulatory accountability. The result would be a more equitable housing finance system where capital flows more consistently to historically marginalized urban communities, thereby promoting wealth building and economic mobility.

Conclusion

Access to homeownership is deeply tied to access to credit, and for millions of working-class urban residents, the credit system acts as a barrier. While current federal policy has acknowledged the racial and economic disparities in access to credit, most reforms have been passive and fragmented, leaving gaps in place.

Expanding rent reporting would allow responsible renters to build credit history for years of consistent payments. Regulating nonbank lenders under community investment standards would ensure

fairness in access to mortgages, regardless of credit history or zip code. These two interventions would not solve every challenge in the housing market, but they would move the system closer to one that expands opportunities.

Ultimately, housing equity begins with financial visibility. Until the credit system reflects the economic lives of all Americans, owning a home will remain out of reach for too many.

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